

KY.1 Owner-Builder Exemption Walkthrough

What Kentucky actually lets you do yourself — and the one question about your own county that changes the shape of the entire build.

Before you use this document

This is a process reference, not legal advice. Kentucky writes one mandatory residential code for the whole state — and then leaves the building permit, the inspections and the certificate of occupancy to each of its 120 counties and its cities, some of which require them and many of which do not. The state plumbing permit and the electrical certificate of approval apply either way. Confirm every item with the office that will actually handle your parcel before you rely on it. Statute and regulation text was read at apps.legislature.ky.gov in August 2026; both change.

THE SHORT VERSION

There is no Kentucky state license for a general contractor or home builder. The Commonwealth licenses *trades* — electricians and electrical contractors, master and journeyman plumbers, master and journeyman HVAC contractors and mechanics, plus elevator, boiler, fire sprinkler and manufactured-housing work. It does not license the person who builds the house. So "owner-builder" in Kentucky is not an exemption you claim; it is simply a thing you are allowed to be.

Which means the interesting question in Kentucky is not *may I build it*. It is **who, if anyone, is going to inspect it** — and there the Commonwealth does something no other state does quite so plainly.

The Kentucky position at a glance

Question	Kentucky's answer
Do you need a state license to build your own house?	No — and not to build someone else's either. Kentucky has no residential general contractor or home builder license at the state level. Your city or county may still require a local business or contractor registration; ask
Is there a project-cost threshold?	No. Nothing in the building chapter is keyed to project value
Must you own the land? Must you live in it?	For the building side, neither is a licensing condition — there is no license. But each trade exemption sets its own test , and they are not the same test. See the trade section below
How long must you keep it?	The statutes set no period. No holding period, no not-for-sale window, no waiting period anywhere in KRS 198B, 227A or 318
Do you need a building permit?	Only if your city or county passed an ordinance requiring one. This is the sentence the rest of this kit turns on — read the next section before anything else

The Kentucky position at a glance

Question	Kentucky's answer
Does the building code apply to you either way?	Yes. Always. The code is mandatory statewide and reaches single-family dwellings by definition. Only the enforcement is optional

Trade licensing: KRS Chapter 227A (electrical), KRS Chapter 318 (plumbing), KRS 198B.650 to 198B.689 (HVAC). The absence of a residential builder license is a negative — it was checked by reading the licensing provisions of KRS Chapter 198B in full in August 2026, and none creates one. Local registration is a separate question and is genuinely local.

THE SENTENCE THAT DECIDES YOUR BUILD

Kentucky adopts **one mandatory residential code for the whole Commonwealth**, and the code itself forbids anything else: *"Local governments shall not adopt or enforce any other building code for detached single family dwellings, two-family dwellings and townhouses."* There is no local code, no county writing its own rules, no shopping for a weaker jurisdiction. And the code plainly reaches your house: the statutory definition of "building" says so in as many words — it *"also means **single-family dwellings**."*

Then the same chapter takes the enforcement away again.

Read this twice — it is the whole kit

The statute. Each local government shall employ a building official and enforce the Uniform State Building Code in its jurisdiction, **"except that permits, inspections, and certificates of occupancy shall not be mandatory for single-family residences unless a local government passes an ordinance requiring inspections of single-family residences."** (KRS 198B.060(1))

The code regulation says it again. The very regulation that adopts the Kentucky Residential Code repeats it as an exception on the face of the code: **"Permits, inspections, and certificates of occupancy shall not be required for a single-family dwelling unless required by local ordinance."** (815 KAR 7:125, Section 2(2)(a))

And the State is forbidden to fill the gap. This is the part that surprises people who have built elsewhere. Where a local program is failing, the department may normally step in and preempt it — **"except that the department shall not preempt or assert jurisdiction for the enforcement of the code on single-family dwellings."** There is no state backstop for houses. If your county has no ordinance, nobody inspects. (KRS 198B.060(4)(b))

Two more subsections close it off: nothing *"shall require a single-family dwelling to be permitted or inspected unless a local government has established a building inspection program"* (KRS 198B.060(8)), and nothing shall *"require a certificate of occupancy to be issued for any single-family dwelling unless a local government has established jurisdiction"* (KRS 198B.060(13)).

KRS 198B.010(4), 198B.060(1), (4)(b), (8), (13); 815 KAR 7:125 Section 2(2)(a). The bar on local codes is **Kentucky Residential Code section R101.3** — it lives in the code book, not in the statutes, which is why it is so often mis-cited. KRS 198B.060 was last amended by 2022 Ky. Acts ch. 66, sec. 2, effective July 14, 2022; 815 KAR 7:125 was last effective December 3, 2024. Read at apps.legislature.ky.gov, August 2026. **One limit on the exemption:** both the statute and the regulation say "single-family" — and 815 KAR 7:125 Section 1 defines two-family dwellings and townhouses as separate things. If you are building a duplex or a townhouse, do not assume the permit exemption reaches you; ask.

What "no building permit" does NOT mean

It does not mean the code does not apply. The Kentucky Residential Code is **mandatory** and it governs your house whether or not anyone ever inspects it. What disappears in a county with no ordinance is the *inspection* — not the standard, not your liability, and not the three permits in the next section.

And skipping the certificate of occupancy has a specific price. Anyone damaged by a violation of the code has a statutory cause of action against whoever committed it, for up to **ten years** after first occupation or the settlement date. The award "*may include damages and the cost of litigation*" — and then: "**If a certificate of occupancy was not issued, then an award may also include reasonable attorney's fees.**" A future buyer's lawyer knows this. Getting a CO you were not required to get is the cheapest insurance in this kit. (KRS 198B.130(1), (2))

THE THREE THINGS THAT APPLY ANYWAY

Whatever your county does about building permits, these three do not depend on it. They come from different chapters, they are administered by the Commonwealth rather than your county, and they are where Kentucky owner-builders actually get stopped.

Required whether or not your county issues building permits

What	What the law says	Authority
1. State plumbing permit	"No person, firm, or corporation shall ... construct, install, or alter ... any plumbing without first having procured a plumbing installation permit therefor from the department. " And the plumbing chapter is in force " in all counties of the Commonwealth " — with one carve-out: it " shall not apply to farmsteads. " Your septic permit must accompany the application.	KRS 318.134(1)(a), (2); KRS 318.015(1), (3)
2. State HVAC permit	"Any person who installs an initial heating, ventilation, or air conditioning system shall apply for a permit prior to beginning the installation. No installation shall begin before the application for the permit has been filed. " Required in any building designed for human occupancy — which a house is.	KRS 198B.6671(1), (6)

Required whether or not your county issues building permits

What	What the law says	Authority
3. Electrical certificate of approval	Not a permit exactly — a gate. Once a certified electrical inspector has been provided for, " <i>no utility shall initiate permanent electrical service to any new building ... until a final certificate of approval has been issued by a certified electrical inspector.</i> " Temporary construction power is expressly not blocked.	KRS 198B.060(11)

The two utilities are the real inspectors

In a county with no building ordinance, the practical enforcement of the Kentucky Residential Code is not a building official. It is the people who connect your services, and two separate statutes put them in that position.

Power. "***After a certified electrical inspector has been provided for by the local government or the department, no utility shall initiate permanent electrical service to any new building ... until a final certificate of approval has been issued by a certified electrical inspector.***" Read the opening condition: the bar switches on once an inspector has been provided for. In practice that is everywhere — **all 119 of the Department's published county sheets name a state electrical inspector.** (KRS 198B.060(11))

Water. "*No permanent water supply shall be provided to any building by any public utility or water district where the interior plumbing system has not been installed and approved in accordance with the provisions of KRS Chapter 318 and the State Plumbing Code.*" No condition on that one at all. (KRS 318.165)

And a third gate sits behind the first. A certified electrical inspector may not issue a certificate of approval for temporary or permanent wiring "*unless the inspector has in his or her possession a notice of release*" from the local health department — the initial release comes when you apply for the septic site evaluation, the final release "*upon approval of an on-site sewage disposal plan.*" On a septic site your health department therefore gates your electricity as well as your plumbing permit. (This does not apply in a county that has adopted the Uniform State Building Code and enforces on-site sewage permitting.) (KRS 211.350(8))

So the county may not care whether your house was ever inspected — but you will still be sitting in a finished, unpowered, waterless building until an electrical inspector and a plumbing inspector have both signed. **Plan the build around those signatures, not around the building permit.**

DOING YOUR OWN WIRING, PLUMBING AND HVAC

Kentucky lets a homeowner do all three. It is one of the genuinely generous states on this. But the three permissions come from **three different instruments with three different tests**, and they are commonly — including in print — flattened into one rule with conditions borrowed from whichever is strictest. Read them separately.

Three exemptions, three different tests

Trade	What the instrument actually says	Authority
Electrical	The widest of the three, and it is a single sentence: " <i>Nothing in KRS 227A.010 to 227A.140 shall prohibit or interfere with the ability of a homeowner or farmer to install or repair electrical wiring on his or her real property.</i> " Note what is not in it — no occupancy condition, no single-family limitation, no requirement that you personally perform the work, no time limit, and no affidavit. Farmers are named expressly.	KRS 227A.030(3)
Plumbing	Narrower, and it lives in a regulation , not the statute — KRS 318.030(1) itself is flat that no person shall engage in plumbing without a master's or journeyman's license. The regulation issues a permit to a homeowner working " <i>in a home occupied by the homeowner or constructed by the homeowner for the homeowner's own personal residential use</i> " on five conditions: apply before you start; file an affidavit ; work to 815 KAR Chapter 20; all work personally performed by you ; and no other homeowner permit for construction of a new home in the last five years .	815 KAR 20:050, Section 2(1)(b); KRS 318.030(1)
HVAC	The statutory exemption is bare — " <i>an individual owner of real property while practicing heating, ventilation, and air conditioning work on or within property owned and occupied by the individual</i> " — but the permit regulation adds the most paperwork of the three: an affidavit , proof of adequate sizing , and a complete design plan of all related duct and piping , all filed with the application, plus personal performance.	KRS 198B.674(3); 815 KAR 8:070, Section 2(2)

Do not flatten them. They differ on **occupancy** (HVAC requires you to own *and* occupy; plumbing accepts a home you are building for your own use; electrical does not mention occupancy at all), on **who holds the tool** (plumbing and HVAC both require the work to be personally performed by you; the electrical sentence imposes no such condition), and on **paperwork** (electrical: none; plumbing: an affidavit; HVAC: an affidavit plus sizing proof plus a duct and piping design). All three exempt you from a **license** only — never from the permit, and never from the code.

The five-year rules are two separate counters

Both the plumbing and the HVAC homeowner permits are rationed, and the two rations are worded differently — so using one does not spend the other, and one is stricter than people assume.

Plumbing bars you only if you "*obtained another homeowner permit for construction of a new home issued within the last five (5) years*" — a homeowner plumbing permit for a repair or a remodel does not use up your allowance. **HVAC** has no such qualifier: "**Only one (1) homeowner HVAC construction permit shall be issued to an individual within a five (5) year period.**" Any homeowner HVAC construction permit counts. If you pulled one for a previous property, check the date before you plan on installing your own system.

815 KAR 20:050 Section 2(1)(b)5 (plumbing, last effective March 1, 2022); 815 KAR 8:070 Section 2(3) (HVAC). Both read at apps.legislature.ky.gov, August 2026. Note also that no local government may add to the HVAC scheme: "No local governing entity shall impose any other additional heating, ventilation, and air conditioning inspection or permit requirements, or establish any local inspection or permitting program, unless those provisions were in place before January 1, 2007." (KRS 198B.6673(4)) Local HVAC programs are frozen at their 2007 footprint.

THE AFFIDAVIT NOBODY WARNS YOU ABOUT

If you *do* apply for a building permit, Kentucky makes you swear to something about other people. No permit may be issued by any building department or political subdivision "*unless the person shall assure, **by affidavit**, that all contractors and subcontractors employed, or that will be employed, on activity covered by the permit shall be in compliance with Kentucky requirements for **workers' compensation insurance** according to KRS Chapter 342 and **unemployment insurance** according to KRS Chapter 341.*"

The penalty is not nominal and it is not capped at a flat number. A person who fails to comply "*shall be fined an amount not to exceed **four thousand dollars (\$4,000)** or an amount equal to **the sum of all uninsured and unsatisfied claims** brought under ... KRS Chapter 342 and unemployment insurance claims for which no wages were reported ..., **whichever is greater***" — and it is enforced by your county attorney. Read that as: if an uninsured subcontractor is badly hurt on your site, the ceiling is the size of the injury, not \$4,000.

This is the single strongest practical argument for collecting a certificate of insurance from every sub before they set foot on the property. **KY.2** gives you the log to record them in.

KRS 198B.060(10)(a), (b), (c).

QUALIFICATION CHECKLIST — WORK THIS BEFORE YOU APPLY

Every line below is either a condition Kentucky law imposes or a fact you have to establish about your own parcel. Work down it with a pen. If you cannot check a box, resolve it before you file — not after.

Step 1 — Settle the jurisdiction question first

	Item	Date	Notes / who confirmed
☐	Asked your city whether it has an ordinance requiring building permits and inspections for single-family dwellings Answer (Y/N): _____ Who told you: _____		
☐	Asked your county the same question — if the parcel is outside city limits, this is the one that governs Answer (Y/N): _____ Who told you: _____		
☐	If either says yes, you are on the ordinary permitted path and KY.2 applies in full		
☐	If both say no, you still need the state plumbing permit, the state HVAC permit, and an electrical certificate of approval — and you should still consider requesting a certificate of occupancy		
☐	Confirmed whether your parcel is subject to county planning and zoning , which is a separate question from building permits Answer: _____		

Step 2 — The trade exemptions you are relying on

	Item	Date	Notes / evidence
☐	Electrical: you are the homeowner (or farmer) and the wiring is on your own real property — KRS 227A.030(3). No further conditions apply to the license exemption		
☐	Electrical, the real gate: identified who your certified electrical inspector will be, because your power company cannot connect you permanently without their final certificate of approval		
☐	Plumbing: the home is occupied by you or being built for your own personal residential use; you will file the affidavit; you personally will do the work		
☐	Plumbing, five-year check: you have not obtained a homeowner plumbing permit for construction of a new home in the last five years Last one (date or none): _____		

Step 2 — The trade exemptions you are relying on

	Item	Date	Notes / evidence
☐	HVAC: you own and occupy the property, and you personally will install the system		
☐	HVAC, five-year check: you have not been issued <i>any</i> homeowner HVAC construction permit in the last five years — stricter than the plumbing rule Last one (date or none): _____		
☐	HVAC paperwork ready: affidavit, proof of adequate sizing, and a complete design plan of all related duct and piping		
☐	For any trade you will not do yourself, the licensed contractor you hire will pull that permit under their own license		
☐	Each contractor's state license verified with the Department of Housing, Buildings and Construction before they start Verified on: _____		

Step 3 — Protect yourself

	Item	Date	Notes / evidence
☐	Certificate of insurance collected from every subcontractor, showing workers' compensation cover — you may be signing an affidavit about their compliance		
☐	Decided whether you will request a certificate of occupancy even if your jurisdiction does not require one, and why (KRS 198B.130(1))		
☐	Photographic record of every stage that will be covered up, whether or not an inspector ever attends		
☐	Asked the Division of Plumbing whether your house needs a plumbing plan submission or will be handled by field inspection — the regulation and its enabling statute do not line up cleanly here, so get your answer in writing Answer: _____		

Step 4 — the paperwork itself (the applications, the septic approval that gates the plumbing permit, code editions and fees) is worked in **KY.2 Permit Application Checklist**, and every document is described in **KY.5 Forms & Documents Index**.

WHAT IT COSTS TO GET IT WRONG

- **Unlicensed plumbing work** outside the homeowner permit: a fine of "*not less than ten dollars (\$10) nor more than one hundred dollars (\$100) or imprisoned for not more than ninety (90) days or both for each offense*" — and "***each day the violation continues shall constitute a separate offense.***" The daily multiplier is the part that matters. (KRS 318.990)
- **Building code and HVAC-permit violations** carry the bigger number: "*not less than ten dollars (\$10) nor more than **one thousand dollars (\$1,000)**. Each day the violation continues shall constitute a separate offense.*" It reaches the Uniform State Building Code, the Residential Code, and — named expressly — installing an HVAC system without the permit. (KRS 198B.990(1))
- **No permanent power, no permanent water.** Not a fine — just a finished house you cannot live in. (KRS 198B.060(11); KRS 318.165)
- **The workers' compensation affidavit:** up to \$4,000 *or* the sum of all uninsured claims, whichever is greater. (KRS 198B.060(10)(b))
- **No certificate of occupancy:** reasonable attorney's fees added to any damages award against you in a code-violation claim, for up to ten years. (KRS 198B.130)

Three things Kentucky does NOT do to you

Worth knowing, because guides written for other states import all three. Kentucky sets **no holding period** and no "not offered for sale within X months" clause on an owner-builder — there is no builder license to be exempt from, so there is nothing for a resale to disqualify you from. It sets **no project-cost threshold**. And it has **no state owner-builder affidavit** about occupancy; the affidavits Kentucky does require are the trade ones (plumbing and HVAC) and the workers' compensation one, and they are about different things entirely.

The trade exemptions do carry their own occupancy tests, and the plumbing and HVAC five-year rations are real. Those are the limits to plan around — not an imaginary resale window.

Sources — every Kentucky claim in this document (verified August 2026)

What this document states	Authority
The code is mandatory statewide and reaches single-family dwellings by definition	KRS 198B.010(4); 198B.050(1)
Permits, inspections and certificates of occupancy are not mandatory for a single-family residence unless a local government passes an ordinance	KRS 198B.060(1), (8), (13); 815 KAR 7:125 §2(2)(a)
The department may not preempt or assert jurisdiction over enforcement on single-family dwellings — there is no state backstop	KRS 198B.060(4)(b)

Sources — every Kentucky claim in this document (verified August 2026)

What this document states	Authority
State plumbing installation permit required from the department; the chapter is in force in all counties but not on farmsteads; the septic permit must accompany the application	KRS 318.134(1)(a), (2); 318.015(1), (3)
State HVAC permit required before an initial system is installed, in any building designed for human occupancy	KRS 198B.6671(1), (6)
No permanent electric service without a certified electrical inspector's final certificate of approval; no permanent water supply until the plumbing is approved	KRS 198B.060(11); 318.165
Homeowner and farmer electrical exemption, with no occupancy, single-family or personal-performance condition	KRS 227A.030(3)
Homeowner plumbing permit: affidavit, personally performed, one new-home permit per five years — a regulation, not a statute	815 KAR 20:050 §2(1)(b); KRS 318.030(1)
Homeowner HVAC exemption requires owned AND occupied; the permit adds an affidavit, sizing proof and a duct and piping design; one permit per five years	KRS 198B.674(3); 815 KAR 8:070 §2(2), (3)
The workers' compensation and unemployment insurance affidavit, and its \$4,000-or-greater penalty enforced by the county attorney	KRS 198B.060(10)
Private action for a code violation: one year from discovery, ten years outside, attorney's fees added if no certificate of occupancy issued	KRS 198B.130(1), (2)
Penalties: \$10–\$1,000 per day under the building chapter, reaching the codes and the HVAC permit; \$10–\$100 per day for plumbing	KRS 198B.990(1); 318.990
No local government may adopt or enforce any other building code for one- and two-family dwellings or townhouses	Kentucky Residential Code R101.3
On a septic site the health department's notice of release also gates the electrical certificate of approval	KRS 211.350(8)

Everything cited in this kit is free to read at apps.legislature.ky.gov — Kentucky Law, then **Kentucky Revised Statutes** → KRS Title Page for a **KRS** section (chapters used here: **198B** the building code, **227A** electrical, **318** plumbing), or **Kentucky Administrative Regulations** → KAR List by Title for a **KAR** regulation (**815** Housing, Buildings and Construction; **902** Public Health; **401** Energy and Environment). **One warning when you check a number:** Kentucky prints an amended regulation with the new wording immediately followed by the wording it replaced, so a fee can appear on screen as "fifty (50) forty-five (45) dollars." The first figure is the one in force — confirm it against the last "eff." date on the HISTORY line at the foot of the regulation. All text here was read at that source, August 2026.